

perhaps stocks were being held back because of a myth. The expected business decline never did arrive and, excepting for two relatively minor recessions in the 1950's, the stage was being set for the great rewards to long-term investors that were to follow.

As I write these words in the closing weeks before the decade of the 80's is about to start, it amazes me that more attention has not been paid to restudying the few years of stock market history that started in the second half of 1946 to see whether true parallels may actually exist between that period and the present. Now, for the third time in my life-time, many stocks are again at prices which, by historic standards, are spectacularly low. In relation to reported book value, they may not be quite as cheap as they were in the post-World War II period. However, if that reported book value is adjusted for replacement value in real dollars, they may perhaps be cheaper than in either of the two prior, bargain value periods. The question arises: are the worries that are holding back stock values in the present period, such matters as the high cost of energy or the dangers from the political left or of overextended credit, with the inevitable resulting drain on the level of business activity as liquidity is restored, more serious and more apt to stop the future growth in this country than the fears that held back stock prices in these two prior periods? If not, once the problems of overextended credit have been solved, it might be logical to assume that the 1980's and period beyond may offer the same sort of rewarding opportunities that characterized the two former periods of abnormally low prices.